

CH 5 MARKET STRUCTURE

5.1 PERFECT COMPETITION

Microeconomics by Topic
5. Market Structure

MARKING SCHEME

1994/CE/II/29
A

2000/CE/II/26
C

2002/CE/II/23
C

2008/CE/II/24
A (52%)

2024/DSE/II/18
A

Note: Figures in brackets indicate the percentages of candidates choosing the correct answers.

1992/CE/I/1(a)

- heterogeneous service, e.g. 4-seaters and 5-seaters
- entry is not free, no. of licences is regulated by the government
- drivers and customers may not have perfect knowledge of the market, e.g. while some customers are waiting for taxis, some taxi drivers are looking for customers somewhere else

(3@, max: 6)

[Mere listing of points without elaboration -- max. 2 marks. Mark the **FIRST TWO** points only.]

1995/CE/II/4

- different services or heterogeneous product, e.g. different discs in different shops
- imperfect information, e.g. customers may not know well the service of other shops
- existence of non-price competition, e.g. free gifts

(2@, max: 4)

[Mark the **FIRST TWO** points only.]

2003/CE/II/4

- many sellers
- all firms are price-takers
- homogeneous product
- perfect information
- free entry and exit

(1@, max: 2)

[Mark the **FIRST TWO** points only.]

2004/CE/II/10(d)

- differentiated products: different services for the 5-day package
- under competition there are different prices (fees)

(2)

(2)

[Remark: Mark the **FIRST TWO** reasons only.]

2006/CE/II/9(b)

- differentiated products, e.g. different service provided by different shops, ...
- different prices / price searching, e.g. different discounts to different customers, ...
- imperfect information, e.g. customers do not know the prices of different shops, ...
- non-price competition, e.g., gifts given by some shops to their customers, ...

(2@, max: 4)

[Mark the **FIRST TWO** points only.]

2007/CE/II/8(c)

- different prices, e.g. not the same tuition fee
- heterogeneous products, e.g. different quality of teaching
- non-price competition, e.g. advertising in supermarkets
- imperfect information, e.g. one may not know who can teach well

(2@, max: 4)

[Mark the **FIRST TWO** points only.]

2013/DSE/II/1

- sellers provide heterogeneous services, e.g. different tour groups.
- market information is imperfect, e.g. information about routes and services.
- sellers engage in both price and non-price competition, e.g. advertisements.

(2@, max: 4)

[Mark the **FIRST TWO** points only.]

2018/DSE/II/12(a)

- sellers provide heterogeneous services, e.g., rooms with different size / features.
- market information is imperfect, e.g., information about the quality of services.
- price searcher / under competition there are different prices, e.g., different hotels charge different room rates for similar rooms.

(2@, max: 4)

[Mark the **FIRST TWO** points only.]

1998/CE/I/10(c)

- (i) An appropriate example to illustrate differentiated products or services / imperfect information / different costs of production e.g. different after-sale maintenance services

(2)

- (ii) Monopolistic competition

(1)

2001/CE/I/4

- different products: different services, e.g. some shops sell cans of Coca-Cola 24 hours a day
- imperfect information: e.g. about the prices of the product sold in other shops; about the availability of other nearby shops selling the product, etc.
- different costs: different rents paid by different shops; discounted cost due to bulk purchase at the wholesale level, etc.

(2@, max: 4)

[Mark the **FIRST TWO** points only.]

2009/CE/I/11(c)(ii)

- different services, e.g., only some shops provide the delivery service
- imperfect information, e.g., customers do not know which shops sell at a lower price
- different production cost, e.g., different rental payments

(2@, max: 4)

[Mark the **FIRST TWO** points only.]

2015/DSE/II/9(c)

- lower-quality coffee
- lower production cost
- less pleasant environment
- less attractive brand name

(2@, max: 4)

[Mark the **FIRST TWO** points only.]

2021/DSE/II/4

Reasons:

- Sellers provide heterogeneous goods, e.g. smartphones with different specifications
- There exists non-price competition, e.g. advertisements
- Market information is imperfect, e.g. information about the performance of the smartphones
- Any other relevant point

[Mark the **FIRST TWO** points only.]

(c) Reasons:

Heterogeneous goods - some stored-value facilities (SVFs) can be used in most forms of public transportation, but some cannot. (2)

Non-price competition - different stored-value facilities (SVFs) companies engage in different kinds of promotions to attract customers. (2)

[Mark the FIRST TWO points only.]